

# Iran's Axis of Resistance

## IRGC, Nuclear Programme, and the Shadow War Across the Middle East

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### Executive Summary

The Islamic Republic of Iran enters the second half of the 2020s as a state of profound internal contradiction: a revolutionary theocracy whose legitimacy rests on 1979 anti-imperial ideology, yet which fields the Middle East's most sophisticated proxy network and operates a nuclear programme within weeks of weapons-grade capability. Iran's population of 88 million and GDP of approximately \$400 billion at market exchange rates — or \$1.6 trillion at purchasing power parity per IMF methodology — represent substantial human and economic resources that four decades of sanctions have systematically constrained. The Islamic Revolutionary Guard Corps (IRGC), the ideological praetorian force established in 1979, has evolved into an economic empire estimated to control upwards of 40 percent of Iran's GDP through its sprawling construction, energy, banking, and telecommunications holdings . The 2022 uprising triggered by the death of Mahsa Amini in morality police custody exposed the depth of popular alienation from the Islamic Republic's governing structures, while the nuclear programme continued advancing regardless of domestic political convulsions. President Ebrahim Raisi's death in a helicopter crash on May 19, 2024, and the subsequent election of reformist Masoud Pezeshkian in July 2024 introduced new tactical flexibility without altering the IRGC's structural dominance or Supreme Leader Khamenei's final authority over all strategic decisions.

### Part I — The IRGC State: Iran's Parallel Power Structure

#### Origins and Constitutional Role

The Islamic Revolutionary Guard Corps was founded by decree of Ayatollah Khomeini on May 5, 1979, as a parallel military force explicitly designed to protect the revolutionary order against both internal counterrevolution and the regular army's potentially insufficient ideological loyalty . Unlike the Artesh (conventional military), the IRGC reports directly to the Supreme Leader rather than the elected government, a constitutional architecture that places Iran's most powerful military force outside democratic accountability. The IRGC encompasses the Ground Forces, Navy, Aerospace Force, Intelligence Organisation, and the Basij paramilitary mobilisation network — a force of millions of volunteer and part-time members used to suppress domestic dissent and mobilise political support .

#### The Quds Force and Soleimani's Legacy

The IRGC's Quds Force — its extraterritorial operations arm — achieved the status of a major regional power broker under the command of General Qasem Soleimani, who directed Iran's proxy relationships, military advisory missions, and covert operations across the Middle East from the 1990s until his killing by a US drone strike at Baghdad International Airport on January 3, 2020 . Soleimani's elimination, ordered by President Trump, was assessed by US officials as designed to deter Iranian aggression but produced

immediate Iranian ballistic missile retaliation against US bases in Iraq and dramatically elevated regional tension. His successor, General Esmail Qaani, has maintained the Quds Force's operational architecture while facing a more complex strategic environment than his predecessor navigated .

### **The IRGC Economic Empire**

The IRGC's penetration of Iran's civilian economy constitutes one of the most significant structural features of the Islamic Republic's political economy. Through a network of holding companies, construction conglomerates, engineering firms, and import monopolies — the most prominent of which is Khatam al-Anbiya, the IRGC's engineering and construction arm — the Corps has accumulated economic interests across infrastructure, oil and gas, defence manufacturing, telecoms, and banking . Estimates of the IRGC's share of GDP consistently range from 20 to 40 percent, with the Congressional Research Service and multiple independent analysts converging on the higher end of this range when affiliated entities and supply chains are included . This economic empire provides the IRGC with resources independent of state budget allocations and creates structural constituencies for the continuation of the Revolutionary system.

### **Ballistic Missiles and the Drone Programme**

Iran's Aerospace Force operates one of the Middle East's most extensive ballistic missile arsenals, encompassing the Shahab family (derived from North Korean Nodong design), the Khorramshahr medium-range ballistic missile, and the Fateh-110 short-range precision system . The drone programme has achieved particular international salience through the supply of Shahed-136 loitering munitions to Russia for use against Ukrainian civilian and energy infrastructure. The Shahed-136, a delta-wing one-way attack drone with an estimated unit cost of approximately \$7 million, has been produced in large volumes through IRGC-affiliated manufacturers and reportedly transferred to Russia beginning in 2022 .

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## **Part II — The Axis of Resistance: Iran's Strategic Depth Through Proxies**

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### **The Architecture of Influence**

Iran's Axis of Resistance represents a four-decade investment in non-state armed actors across the Levant, Iraq, Yemen, and the Palestinian territories — a strategic doctrine that provides Iran with deterrence, force projection, and leverage at a fraction of the cost of conventional military competition with Israel or the United States. The doctrine emerged from the post-1982 experience of Hezbollah in Lebanon, which demonstrated that an Iran-armed, -trained, and -funded non-state actor could achieve strategic effects — including the withdrawal of US and French forces from Beirut in 1983-1984 — disproportionate to its material resources .

### **Hezbollah**

Hezbollah in Lebanon represents the most mature and capable component of the Axis of Resistance. The organisation's military wing is assessed to possess approximately 150,000 rockets and missiles of varying ranges and accuracy, a stockpile built over decades of Iranian supply through Syrian territory . Iranian funding for Hezbollah has been estimated at approximately \$700 million annually in the pre-2024 period, though sanctions enforcement and the Lebanese banking crisis disrupted some transfer mechanisms . The 2024 conflict with Israel, in which Hezbollah's leadership including Secretary-General Hassan Nasrallah was killed in Israeli airstrikes, represented the most severe degradation of the organisation's command structure since its founding .

### **Hamas and Palestinian Islamic Jihad**

Hamas, the Islamist movement governing Gaza, maintained political and military support from Iran despite the complication of sectarian difference — Hamas is Sunni, Iran Shia — that temporarily strained the relationship during the Syrian civil war when Hamas declined to endorse the Assad government . Palestinian Islamic Jihad (PIJ), operating in Gaza and the West Bank, maintains a closer and less ambivalent relationship with Tehran and receives direct funding and military assistance . The October 7, 2023 attack on Israel was attributed to Hamas military planning, with significant debate among Western intelligence agencies regarding the extent of direct Iranian foreknowledge and operational involvement .

### **The Houthi Movement and Red Sea Operations**

The Houthi movement (Ansar Allah) in Yemen has evolved from a Zaydi Shia revivalist insurgency into a component of the Axis of Resistance capable of sustained maritime and aerial operations that affect global shipping . Beginning in November 2023, the Houthis launched anti-ship ballistic missiles and drone attacks against vessels in the Red Sea and Bab el-Mandeb strait, ostensibly in solidarity with Palestinians in Gaza, forcing major shipping lines to reroute around the Cape of Good Hope and adding approximately 10-14 days to transit times for Asia-Europe trade . The Houthis' ability to deploy anti-ship ballistic missiles — systems supplied and maintained with Iranian technical assistance — represented a significant evolution in Axis of Resistance capabilities .

### **Iraqi Popular Mobilization Forces**

The Iraqi Popular Mobilization Forces (PMF/Hashd al-Shaabi), including Iran-aligned factions such as Kata'ib Hezbollah and Asaib Ahl al-Haq, represent Iran's most direct military presence within a nominally sovereign Arab state . PMF factions conducted hundreds of drone and rocket attacks against US bases in Iraq and Syria in the October 2023-March 2024 period, including the January 28, 2024 attack on Tower 22 in Jordan that killed three US soldiers — the first American combat deaths in the region since 2020 .

### **Iran's Direct Military Confrontation with Israel, 2024**

April 13-14, 2024 marked a historic threshold: Iran's first direct military attack on Israel from Iranian territory, launching over 300 drones and ballistic and cruise missiles in retaliation for an Israeli airstrike on the Iranian consulate in Damascus that killed senior IRGC officers on April 1, 2024 . The attack was largely intercepted by Israeli, US, Jordanian, and Saudi air defense systems cooperating in an unprecedented regional defense coalition. Israel's retaliatory strike on April 19 was characterised as deliberately limited — targeting an air defense radar system near Isfahan — in what was interpreted as a signal of capability restraint . Iran launched a second, larger ballistic missile barrage on October 1, 2024, firing approximately 180 ballistic missiles at Israeli territory in retaliation for the killing of Nasrallah and other Axis of Resistance leaders .

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## **Part III — The Nuclear Programme: Threshold Status**

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### **JCPOA Architecture and Collapse**

The Joint Comprehensive Plan of Action, signed in Vienna on July 14, 2015, represented the most comprehensive diplomatic constraint on Iran's nuclear programme since its clandestine expansion was first exposed in 2002 . The agreement capped Iran's uranium enrichment at 3.67 percent, limited the stockpile of low-enriched uranium to 300 kilograms, reduced the number of operating centrifuges to approximately 6,000, and subjected Iran to the most intrusive IAEA inspection regime of any Non-Proliferation Treaty signatory . President Trump's withdrawal from the JCPOA on May 8, 2018 and reimposition of comprehensive sanctions triggered Iran's systematic violation of its commitments beginning in May 2019, at which point Tehran began exceeding the enrichment and stockpile limits in graduated steps explicitly calibrated to each anniversary of the US withdrawal.

### **Current Nuclear Status**

By 2023-2024, Iran's nuclear programme had advanced to a point that prompted unprecedented IAEA Board of Governors resolutions censuring Tehran for its failure to cooperate with inspections and provide credible explanations for undeclared nuclear material detected at three undisclosed sites . Uranium enrichment to 60 percent purity — far beyond any civilian power or research reactor justification, and three-quarters of the way to weapons-grade 90 percent — had accumulated a stockpile that the Institute for Science and International Security estimated would require only one to two weeks to further enrich to weapons-grade if Iran made a political decision to do so . Iran was assessed to be operating over 3,000 advanced IR-6 centrifuges at the Fordow underground facility and Natanz centrifuge halls as of 2023 .

### **Infrastructure and Covert Operations**

The hardened underground facilities at Fordow (buried 80 metres beneath a mountain) and Natanz represent investments in survivability against military strike that have proceeded regardless of diplomatic negotiations . The Stuxnet cyberattack, attributed to a joint US-Israeli operation, destroyed approximately 1,000 centrifuges at Natanz between 2009 and 2010 but produced only a temporary delay in the programme . The assassination of Iran's leading nuclear scientist Mohsen Fakhrizadeh on November 27, 2020 — attributed by Iranian officials to Israel — eliminated the architect of Iran's previous weaponisation programme but did not halt technical progress . Iran's nuclear programme has demonstrated remarkable resilience to both technical sabotage and personnel targeting.

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## **Part IV — Economy Under Sanctions: Adaptation and Decay**

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### **The Maximum Pressure Campaign**

The Trump administration's reimposition of comprehensive sanctions beginning in November 2018 under a "maximum pressure" strategy targeted Iran's oil exports, banking sector, petrochemical industry, and shipping . The immediate economic impact was severe: oil exports fell from approximately 2.5 million barrels per day in early 2018 to a trough of approximately 300,000 barrels per day in mid-2020 under the combined effect of sanctions enforcement and COVID-19 demand collapse . By 2024, Iranian oil exports had recovered to an estimated 1.3-1.5 million barrels per day, primarily through sales to Chinese refiners at discounts of \$5-15 per barrel to Brent, facilitated through a network of intermediary entities that provided sanction evasion cover .

### **Currency Collapse and Inflation**

The rial's collapse represents the most visible human impact of the sanctions regime: from approximately 40,000 rials per dollar at the time of the JCPOA in 2015, the currency fell to over 500,000 rials per dollar by 2024, an effective purchasing power destruction of more than 90 percent for ordinary Iranians over the decade . Annual inflation exceeded 40 percent in 2022 , and while the rate moderated somewhat in subsequent years, the compounding effect of sustained high inflation on fixed-income households, pensioners, and the middle class produced the economic conditions that fuelled the 2022 Mahsa Amini protests .

### **The China Strategic Partnership**

Iran and China signed a 25-year comprehensive cooperation agreement in March 2021, which Chinese and Iranian officials described as including \$400 billion in Chinese investment in Iranian infrastructure, energy, and industry over the agreement's term in exchange for preferential access to Iranian oil . The agreement's implementation has been uneven and significantly below the headline figures cited at signing, reflecting Chinese commercial caution about secondary sanction exposure and the practical difficulties of large-scale investment in a heavily sanctioned economy . Nevertheless, China has functioned as the indispensable economic lifeline for the Islamic Republic, absorbing the bulk of its oil exports and providing diplomatic cover at the UN Security Council.

## Part V — The 2024 Escalation Cascade: Iran's Proxy Architecture Under Maximum Stress

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### The October 7 Moment

The Hamas attack of October 7, 2023, whatever its precise genesis, placed the entire Axis of Resistance architecture under simultaneous strategic pressure. Hezbollah activated a northern front against Israel beginning October 8, 2023, exchanging daily fire across the Lebanon-Israel border in a calibrated manner designed to impose costs without triggering a full Israeli invasion. The Houthis launched their Red Sea campaign beginning in November 2023. Iraqi PMF factions began their attack campaign against US bases simultaneously. Iran coordinated and encouraged these actions while exercising calibrated restraint in its own direct military posture until the Damascus consulate strike forced its hand in April 2024.

### Unprecedented Escalation

The sequential events of April 2024 — Israeli airstrike on Iranian consulate in Damascus (April 1), Iranian direct attack on Israel (April 13-14), Israeli retaliatory strike (April 19) — constituted the first direct military exchange between Iranian and Israeli forces in history, crossing a threshold that both sides had carefully avoided for decades. The October 1, 2024 Iranian missile barrage, the killing of Nasrallah (September 27), and the subsequent Israeli strikes on Iranian territory on October 26, 2024 — which damaged air defense systems in Tehran and infrastructure in Khuzestan — completed an escalation ladder that left the region in a fundamentally more dangerous equilibrium than existed before October 7.

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### Conclusion

Iran in 2026 is a threshold nuclear state whose breakout timeline is measured in weeks, not months — a profound and perhaps irreversible strategic fact. Supreme Leader Khamenei, aged 84 in 2026, has provided 35 years of supreme authority, and the question of succession — with no clear mechanism or anointed successor publicly identified — represents the single most consequential uncertainty in Iranian politics. The proxy network, though severely degraded in the 2024 escalation cascade (Nasrallah killed, Hezbollah command structure disrupted, IRGC officers killed in Damascus), retains its structural architecture and Iran's capacity to rebuild these networks over years. The sanctions regime, despite 40 years of application, has demonstrably failed to alter Iran's fundamental strategic posture — enriching the IRGC while impoverishing the population. Whether the Islamic Republic can navigate the triple pressure of economic degradation, demographic alienation (as evidenced by 2022's protests), and the post-Khamenei succession while maintaining its nuclear programme and Axis of Resistance architecture is the central question in Middle East security for the remainder of this decade.

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All data from IAEA Director General Reports and Board of Governors Resolutions; IMF World Economic Outlook and Article IV Consultations; Congressional Research Service; US Treasury OFAC; US Department of Defense and CENTCOM statements; IISS Military Balance; RAND Corporation; Wilson Center; Atlantic Council; Institute for Science and International Security (ISIS); Arms Control Association; UN Panel of Experts on Yemen; Carnegie Middle East Center; International Crisis Group; Reuters; BBC; Wall Street Journal; New York Times; USNI News.